Celltrion (068270 KS)

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New biosimilars deliver growth

New products drive growth

In 3Q26, biosimilar sales maintained strong growth, rising 41.5% YoY to W1,359.9bn. While sales from established biosimilars, including Remsima IV (infliximab biosimilar of Remicade), grew just 3% YoY, newer products generated W905.8bn (+74% YoY), accounting for most of the growth in biosimilar sales. Sales from five biosimilars, including Omlyclo (omalizumab biosimilar of Xolair), whose sales ramped up in 2025, reached W388.0bn, more than quadrupling from 3Q25. In particular, Omlyclo and Stoboclo/Osenvelt (denosumab biosimilars of Prolia/Xgeva, respectively) each generated quarterly sales exceeding W100bn, driving growth. Omlyclo's US launch in 4Q26 is also expected to support strong sales.

Expanding biosimilar portfolio supports sustained growth

With patents on major biologics set to expire in early 2030, Celltrion plans to expand its biosimilar portfolio in line with these expirations. The firm aims to increase its commercialized biosimilar portfolio from 11 products currently to 18 by 2030 and 41 by 2038. As demonstrated by the recent growth of its five new biosimilars, portfolio additions should not only increase sales but also substantially improve profitability, driving strong earnings leverage.

Despite intensifying biosimilar competition, Celltrion's regulatory experience gained from developing multiple biosimilars should enable launches timed to patent expirations. Celltrion also handles development and manufacturing in-house and has brought sales in-house by completing its transition to direct sales in its key European and US markets. This integrated structure should support strong price competitiveness and help sustain its competitive edge as competition intensifies.

Maintain BUY; raise target price to W320,000

We maintain BUY and revise up our target price from W280,000 to W320,000. New biosimilars are delivering tangible earnings growth, and with a major patent cliff approaching, we expect new products to drive growth for several years.

BUY (M)

Target price	W320,000 (Up)
Previous target price	W280,000
Current price (Nov 02)	W192,000
Upside potential	67%

Market cap (Wbn)	44,558
Shares outstanding	232,072,877
Avg daily T/O (2M, Wbn)	88
Avg daily volume (2M, shrs)	462,877
52-week high/low (won)	236,862 / 159,400
Foreign ownership (%)	25.71%
Dividend yield (%)	0.41%
Major shareholders	Celltrion Holdings & others

Stock performance

(%)	1M	3M	12M
Absolute	5.1	2.8	14.7
Relative	25.7	15.8	(19.6)
Abs (US$)	5.7	9.0	21.6

Quarterly earnings

(Wbn)	4Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,665	25.2	5.7	1,647	1.1
OP	606	27.5	15.4	615	-1.4
Pre-tax net profit	577	9.4	466.7	681	-15.2
Net profit, CI	460	-13.0	495.7	512	-10.2
OPM (%)	36.4	+0.7 %pt	+3.1 %pt	37.3	-0.9 %pt
NPM (%)	27.6	-12.1 %pt	+22.7 %pt	31.1	-3.5 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,557	4,162	5,779	6,616
OP	492	1,168	1,905	2,457
Net profit, CI	423	1,030	1,254	1,871
P/E (x)	96.5	38.6	36.0	23.8
P/B (x)	2.2	2.2	2.4	2.1
EV/EBITDA (x)	45.5	28.6	21.4	16.7
ROE (%)	2.5	5.9	7.0	9.6

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

New products underpin growth

In 3Q26, biosimilar sales maintained strong growth, rising 41.5% YoY to W1,359.9bn. While sales from three existing biosimilars, including Remsima IV, grew just 3% YoY to W454.1bn, newer products generated W905.8bn (+74% YoY), accounting for most of the growth in biosimilar sales.

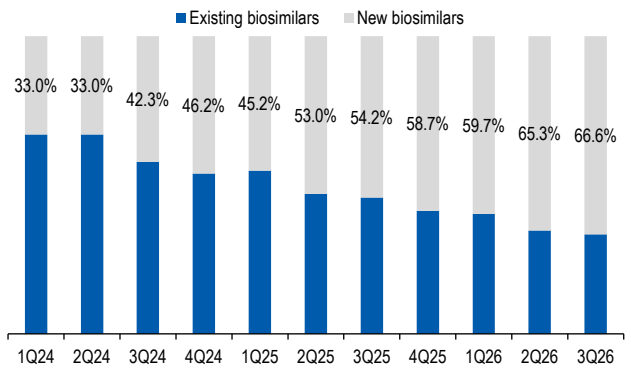
On the back of rapid growth of new products, the share of new products in total revenue expanded from 42.3% in 3Q24 to 66.6% in 3Q26. Within the new product lineup, Remsima SC (subcutaneous infliximab) and Yuflyma (adalimumab biosimilar of Humira) continue to grow stably, while sales of five new biosimilars launched in earnest from 2025 are increasing fast. In particular, Omlyclo and Stoboclo/Osenvelt have each surpassed W100bn in quarterly revenue in their second year after launch. We expect the portion of new biosimilars in 4Q26 total revenue to increase to 72.4% following Omlyclo's US launch. As a second follow-on biosimilar has yet to be launched, and the originator biologic Xolair continues to see sales growth following its 2024 approval for food allergies, we expect Omlyclo to post solid revenue in the US market.

Celltrion: earnings estimate **(Wbn)**

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2025	2026E	2027E
Sales	841.9	961.5	1029.0	1330.2	1145.0	1393.7	1575.5	1664.9	4162.5	5779.1	6616.1
YoY (%)	14.2%	9.9%	16.7%	25.1%	36.0%	45.0%	53.1%	25.2%	17.0%	38.8%	14.5%
Biosimilar	767.6	882.8	961.3	1252.3	974.2	1263.9	1359.9	1509.8	3864.0	5107.8	5998.2
Remsima IV	237.7	261.3	265.3	285.2	213.6	253.3	267.5	233.9	1049.5	968.3	923.1
Truxima	128.7	102.7	126.1	168.9	136.7	152.1	139.8	135.1	526.3	563.7	558.1
Herzuma	54.1	50.8	48.8	63.5	42.7	33.6	46.8	47.6	217.1	170.7	183.1
Remsima SC	135.3	161.1	185.1	235.7	157.1	199.6	218.6	259.3	717.2	834.6	909.7
Yuflyma	117.5	137.4	143.8	104.1	114.1	195.4	183.2	185.3	502.8	678.0	789.0
Vegzelma	59.2	79.9	74.9	154.9	45.9	68.8	80.4	100.7	368.9	295.8	300.7
Zymfentra	13.4	22.6	28.1	58.1	52.8	46.7	35.6	55.2	122.2	190.3	271.7
Steqeyma	21.1	35.4	35.3	42.2	39.7	50.1	48.5	57.0	133.9	195.3	236.4
Omlyclo	3	21.7	27.9	49.4	71.7	116.7	132.1	177.8	99.2	498.3	888.1
Eydelzent	(0.1)	1.8	1.6	5.5	6.5	10.4	14.1	14.3	8.8	45.3	55.3
Stovoclo/Osenvelt	5	7.3	20.0	71.0	68.5	73.5	112.2	145.6	98.8	399.8	526.5
Aptozma	0	0.9	4.4	13.8	24.9	63.7	81.1	98.1	19.1	267.8	356.5
Pharm/chemical	67.9	72.3	63.3	70.1	69.4	72.8	73.2	73.6	273.6	289.0	291.1
Others (incl. CMO)	6.4	6.4	4.4	7.8	101.4	57.0	142.4	81.4	24.4	382.2	326.8
Gross profit	442.9	544.4	626.1	853.7	685.9	864.2	954.8	1072.2	2467.0	3577.1	4241.1
SG&A expense	293.5	301.9	324.7	378.5	364.0	412.4	429.5	466.2	1298.6	1672.1	1784.5
OP	149.4	242.5	301.4	475.2	321.9	451.8	525.3	606.0	1168.5	1905.0	2186.5
YoY (%)	867.9%	234.5%	45.1%	141.9%	115.5%	86.3%	74.3%	27.5%	137.5%	63.0%	14.8%
OPM (%)	17.7%	25.2%	29.3%	35.7%	28.1%	32.4%	33.3%	36.4%	28.1%	33.0%	34.5%

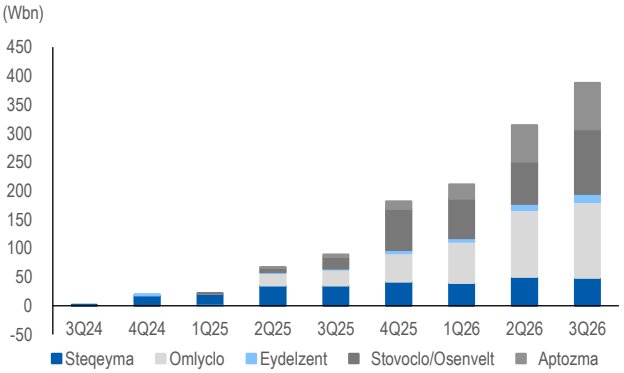
Source: Yuanta Securities

Share of new products in sales



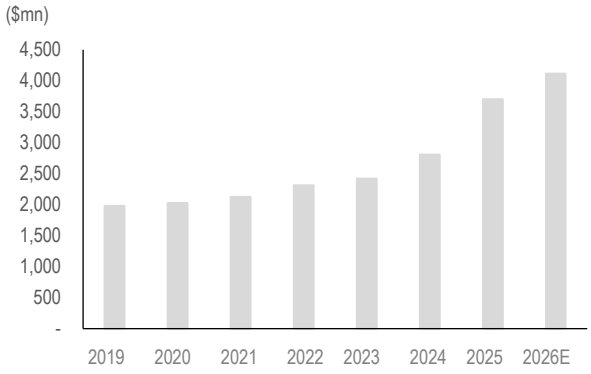
Source: company data, Yuanta Securities

Sales from five biosimilars launched since 2025



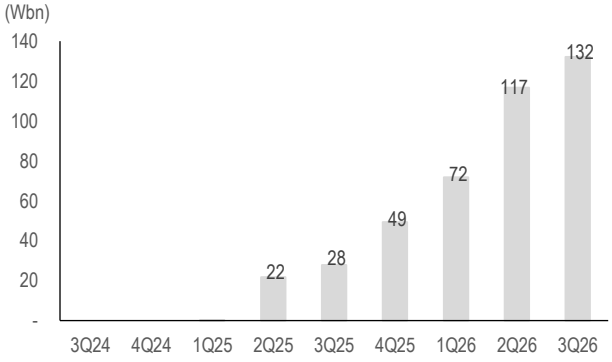
Source: company data, Yuanta Securities

Xolair sales in the US



Source: global data, Yuanta Securities

Omlyclo sales



Source: company data, Yuanta Securities

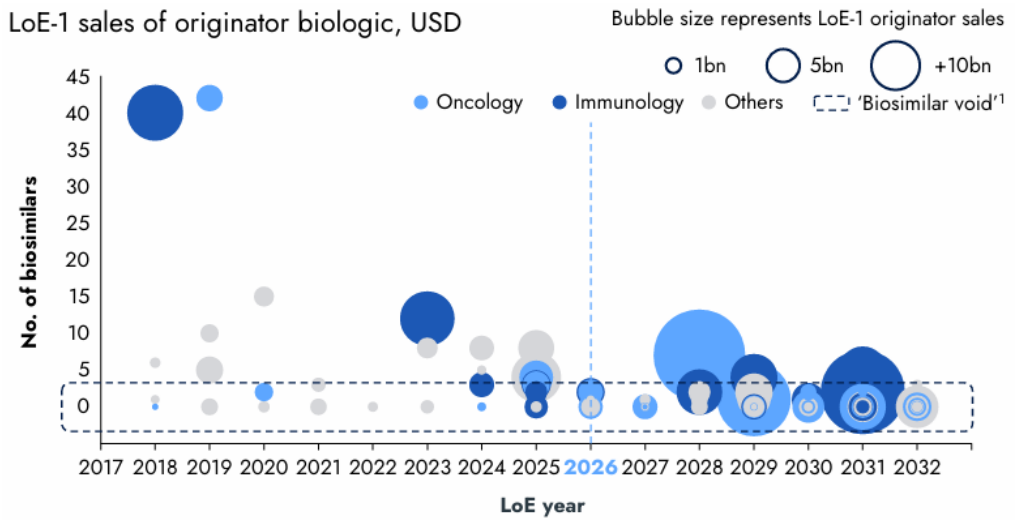
Patent cliff period to drive biosimilar portfolio expansion

As the industry enters a patent cliff window, patent expirations for blockbuster biologic drugs are scheduled every year. The growing number of off-patent biologics is set to lead to the expansion of the company's biosimilar portfolio. As of 2026, the company possesses 11 commercialized biosimilars, and seven biosimilar candidates are currently undergoing clinical trials.

Celltrion's profitability has improved significantly since 2025, thanks to increasing sales of high-margin new biosimilars. The seven candidates currently undergoing clinical trials are slated for commercialization by 2030, with the firm's biosimilar portfolio expected to expand to 18 products. Including 22 undisclosed pipeline candidates, Celltrion plans to increase its commercial biosimilar lineup to 41 products by 2038. As such, profitability improvements driven by new biosimilar additions are expected to persist over the long term.

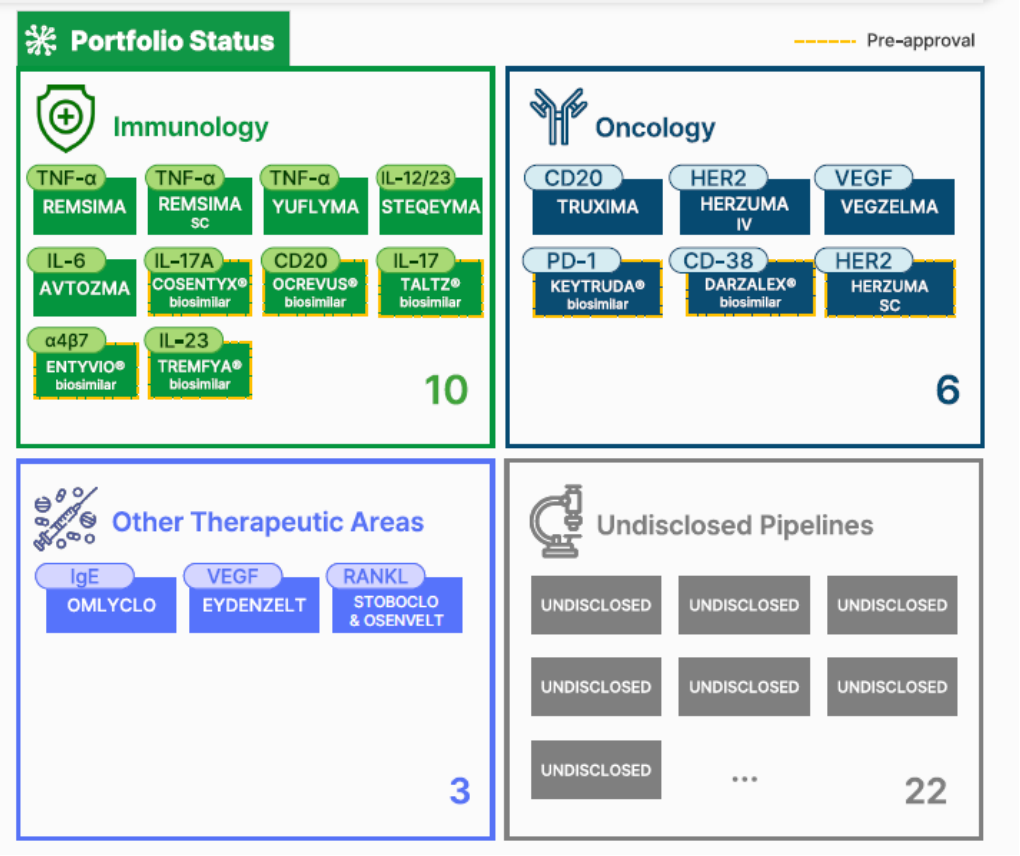
Although competition is intensifying alongside the increase in biosimilars, the company holds effective regulatory approval strategies including clinical trial cost efficiencies and patent settlements with originator companies, based on its extensive experience developing multiple biosimilars. In addition, the company manages everything from product development to manufacturing in-house and has established direct sales systems in Europe and the US, which should give the company a competitive edge in pricing over peers.

Sales scale of biologic drugs subject to patent expiration by year



Source: Sandoz, Yuanta Securities

Celltrion: biosimilar pipeline



Source: company data, Yuanta Securities

Celltrioin: target price calculation **(Wbn)**

	Value	Note
1. Operating value	76,558	2027E EBITDA W2,734.2bn Target EV/EBITDA 28x
2. Net debt	2,426	End-2026 estimate
3. Total enterprise value	74,131	1-2
4. Total number of shares ('000)	232,073	
5. Value per share (won)	319,431	3/4
6. Target price (won)	320,000	

Source: Yuanta Securities

Celltrion (068270 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,557**	**4,162**	**5,779**	**6,616**	**7,215**
Cost of sales	1,876	1,695	2,202	2,375	2,548
Gross profit	1,682	2,467	3,577	4,241	4,667
SG&A	1,190	1,299	1,672	1,785	1,826
Operating profit	**492**	**1,168**	**1,905**	**2,457**	**2,841**
EBITDA	910	1,456	2,207	2,734	3,094
Non-operating profit	84	-15	-336	-84	-32
Forex gains	144	177	-234	-23	-23
Net interest income	-42	-52	-74	-39	13
Equity-method gains	-12	-14	-1	6	6
Other	-6	-126	-28	-28	-28
Net prof before income tax	576	1,154	1,569	2,372	2,809
Income tax	157	122	309	496	588
Net profit from continuing ops	419	1,031	1,260	1,877	2,221
Net profit from discontinued ops	0	0	0	0	0
Net profit	419	1,031	1,260	1,877	2,221
NP for controlling interest	**423**	**1,030**	**1,254**	**1,871**	**2,214**
Total comprehensive income	925	779	1,683	2,100	2,444
Total comprehensive income, CI	929	777	1,676	2,095	2,438

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**5,584**	**6,205**	**7,562**	**9,679**	**12,092**
Cash & cash equivalents	996	1,119	1,298	2,739	4,859
Accounts receivables & other	1,259	1,840	2,377	2,667	2,914
Inventory	2,766	2,803	3,330	3,655	3,648
Non-current assets	15,471	16,130	16,729	16,736	16,771
Tangible assets	1,245	1,703	1,902	2,057	2,228
Investment in affiliates	112	106	121	134	146
Other investment assets	49	64	56	56	56
Total assets	**21,055**	**22,335**	**24,291**	**26,416**	**28,862**
Current liabilities	3,187	4,454	5,035	5,207	5,357
Accounts payable & other	554	629	945	1,047	1,137
ST financial liabilities	1,989	3,239	3,439	3,439	3,439
Liquid LT liabilities	98	77	15	15	15
Non-current liabilities	288	529	559	575	589
LT financial liabilities	87	387	387	387	387
Debentures	0	0	0	0	0
Total liabilities	**3,475**	**4,982**	**5,594**	**5,782**	**5,946**
Equity, controlling interest	17,439	17,208	18,550	20,481	22,757
Paid-in capital	221	239	251	251	251
Capital surplus	14,828	14,215	14,262	14,262	14,262
Retained earnings	3,744	4,407	3,825	5,534	7,585
Equity, non-controlling interest	141	144	147	153	159
Total equity	**17,580**	**17,353**	**18,697**	**20,634**	**22,916**
Net debt	**1,064**	**2,499**	**2,426**	**970**	**-1,163**
Total debt	2,208	3,740	3,881	3,883	3,884

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**902**	**646**	**1,667**	**2,697**	**3,397**
Net profit	419	1,031	1,260	1,877	2,221
Depreciation & amortization	73	93	127	116	106
Forex gains	0	0	405	23	23
Affiliate investment gains	12	14	1	-6	-6
Increase in net working cap	-21	-495	-443	501	881
Other	420	3	316	185	172
Investing cash flow	**-169**	**-860**	**-386**	**5**	**57**
Investment	-38	-19	-20	-13	-12
Increase in tangible assets	-135	-108	-242	-272	-276
Decrease in tangible assets	0	0	0	0	0
Other	3	-734	-124	290	345
Financing cash flow	**-353**	**339**	**-349**	**-272**	**-273**
ST financial liabilities	397	1,245	202	1	1
Debenture/LT financial liabilities	-79	286	-60	0	0
Equity	38	-604	48	0	0
Cash dividend	-104	-154	-168	-163	-163
Other cash flow	-605	-434	-371	-111	-111
Consolidation adj and other	52	-2	-752	-988	-1,061
Increase in cash & equivalents	**432**	**123**	**179**	**1,441**	**2,120**
Beginning cash & equivalents	565	996	1,119	1,298	2,739
Ending cash & equivalents	996	1,119	1,298	2,739	4,859
NOPLAT	492	1,168	**1,905**	**2,457**	**2,841**
FCF	**767**	**538**	**1,424**	**2,425**	**3,121**

Valuation

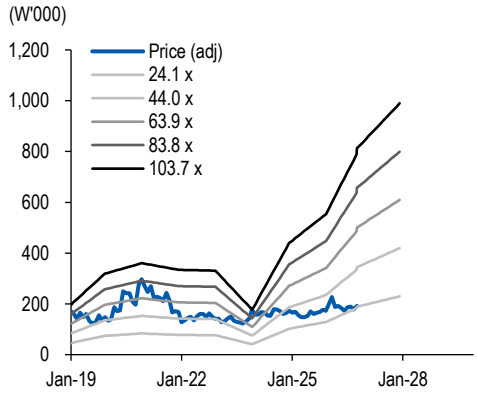
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	1,703	4,238	5,335	8,062	9,541
BPS (won)	74,502	75,396	81,561	90,056	100,060
EBITDA/shr (won)	3,668	5,993	9,393	11,782	13,332
SPS (won)	14,333	17,132	24,595	28,509	31,088
DPS (won)	657	715	715	715	715
P/E (x)	**96.5**	**38.6**	**36.0**	**23.8**	**20.1**
P/B (x)	**2.2**	**2.2**	**2.4**	**2.1**	**1.9**
EV/EBITDA (x)	**45.5**	**28.6**	**21.4**	**16.7**	**14.1**
P/S (x)	**11.5**	**9.5**	**7.8**	**6.7**	**6.2**

Key financial data

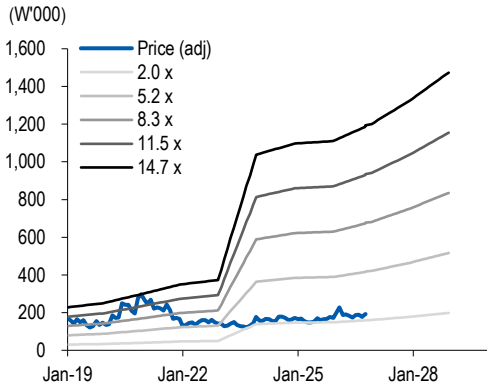
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**63.4**	**17.0**	**38.8**	**14.5**	**9.0**
Operating profit (%YoY)	**-24.5**	**137.5**	**63.0**	**29.0**	**15.6**
Net profit, CI (%YoY)	**-21.1**	**143.6**	**21.7**	**49.3**	**18.4**
Gross margin (%)	47.3	59.3	61.9	64.1	64.7
Operating margin (%)	**13.8**	**28.1**	**33.0**	**37.1**	**39.4**
Net margin, CI (%)	11.9	24.7	21.7	28.3	30.7
EBITDA margin (%)	25.6	35.0	38.2	41.3	42.9
ROIC (%)	2.0	5.6	7.4	9.4	10.7
ROA (%)	2.1	4.7	5.4	7.4	8.0
ROE (%)	**2.5**	**5.9**	**7.0**	**9.6**	**10.2**
Debt-to-equity (%)	19.8	28.7	29.9	28.0	25.9
Net debt-to-equity (%)	6.1	14.5	13.1	4.7	-5.1
OP/financing cost (x)	6.5	15.5	17.3	22.1	25.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

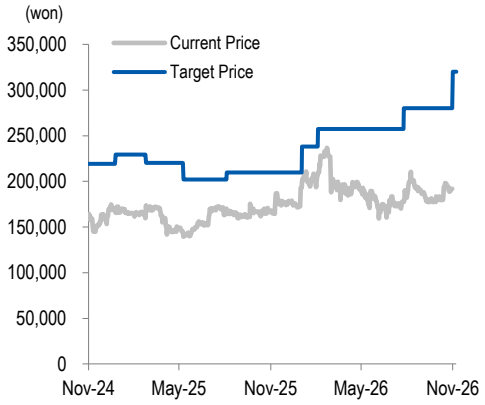
P/E band chart



P/B band chart



Celltrion (068270 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/03	BUY	320,000	1 yr		
2026/07/28	BUY	280,000	1 yr	-32.89	-24.82
2026/06/05	BUY	257,355	1 yr	-32.80	-28.66
2026/02/06	BUY	257,355	1 yr	-23.77	-7.96
2026/01/05	BUY	238,292	1 yr	-15.31	-11.60
2025/08/07	BUY	209,697	1 yr	-19.15	-7.95
2025/07/22	BUY	201,983	1 yr	-16.13	-14.87
2025/05/12	BUY	201,983	1 yr	-23.52	-14.49
2025/02/26	BUY	220,345	1 yr	-28.27	-21.62

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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